24-1363

UNITED STATES COURT OF APPEALS FOR THE FEDERAL CIRCUIT

DELFASCO LLC

Appellant,

v.

SECRETARY OF THE ARMY

Appellee.

Petition for Review from the Armed Services Board of Contract Appeals, Nos. 63280, 63402

OPENING BRIEF OF APPELLANT, DELFASCO LLC

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CERTIFICATE OF INTEREST

Counsel for Appellant, Delfasco LLC certifies the following:

1. The full name of every party or amicus represented by me is: Delfasco LLC.

2. The name of the real party in interest represented by me is: Delfasco LLC.

3. All parent corporations and any publicly held companies that own 10 percent of the stock of a party or amicus curiae represented by me are: None.

4. The names of all law firms and the partners and associates that (a) appeared for the entities in the originating court or agency or (b) are expected to appear in this court for the entities not including those who have already entered an appearance in this court: None.

5. I am unaware of any cases pending in this or any other court or agency that meet the criteria under Fed. Cir. R. 47.5(a). I am unaware of any cases pending that will directly affect or be directly affected by this court's decision in the pending appeal.

/s/ John J. O'Brien
JOHN J. O'BRIEN
March 26, 2024

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STATEMENT OF RELATED CASES

Pursuant to Federal Circuit Rules 28(a)(4) and 47.5, counsel for Appellant, Delfasco LLC certifies:

1. I am unaware of any other appeal in or from the same civil action or proceeding in the originating tribunal that was previously before this or any other appellate court.

2. I am unaware of any case pending in this or any other tribunal that will directly affect or be directly affected by this court's decision in the pending case.

/s/ John J. O'Brien
JOHN J. O'BRIEN
March 26, 2024

JURISDICTIONAL STATEMENT

This case comes on appeal from a final decision of the Armed Services Board of Contract Appeals ("ASBCA"), which had subject matter jurisdiction pursuant to 41 U.S.C. § 7104(a). This Court has appellate jurisdiction pursuant to 41 U.S.C. § 7107(a)(1)(A) and 28 U.S.C. § 1295(a)(10). The ASBCA issued its final decision on September 26, 2023, denying Delfasco's ASBCA appeal. Delfasco timely filed a notice of appeal on January 11, 2024. *See* 41 U.S.C. § 7107(a)(1)(A).

STATEMENT OF THE ISSUE

1. Whether the ASBCA erred in granting summary judgment in favor of the government where there were genuine issues of material fact in dispute and the Board failed to view the evidence in the light most favorable to the party opposing the motion.

STATEMENT OF THE CASE

This case concerns the proper interpretation of an Economic Price Adjustment ("EPA") clause, contained in a contract to produce inert practice bombs, entered into between Delfasco and the Army.

On January 7, 2016, the Army awarded Delfasco a firm fixed price, indefinite delivery/indefinite quantity ("IDIQ") contract for, among other things, delivery of suspension lugs and two models of practice bombs, the MK-76 and BDU-33. APPX69-70. The contract contains an EPA clause that provides for increases or decreases in the line item pricing based on fluctuations in the price of steel. APPX102. The contract did not define the term "steel" or what constitutes "steel." APPX102-104.

In April of 2020, Delfasco informed the agency that it would be filing a Request for Equitable Adjustment ("REA"). APPX622. Subsequently, Delfasco informed the agency that it would file the REA after contract completion. APPX623. On December 6, 2021, the contracting officer emailed Delfasco stating, "[a]s recently discussed we look forward to receiving Delfasco's request for adjustment due to steel costs under contract W52P1J-16-D-0039 by the end of January 2022." APPX640.

On February 3, 2022, Delfasco submitted an EPA claim to the Army based on increases in the cost of steel. APPX651-663. The EPA claim related only to increased costs for the practice bombs bodies. APPX651. On February 15, 2022, the contracting officer denied Delfasco's claim for three reasons:

- The Army claimed that the EPA request included labor, overhead, G&A, and/or profit in the costs.

- The Army claimed Delfasco failed to provide notice within 60 days after the increase in costs.
- The Army claimed Delfasco's claim was for less than 3% of the total contract price.

APPX668. Delfasco filed a notice of appeal of this decision, with the ASBCA, on May 13, 2022. APPX715-716.

Subsequent to the agency's denial, on February 25, 2022, John Longhurst of Delfasco had a conversation with the contracting officer, Bridget Kramer, regarding the denial of Delfasco's claim. APPX685. Following that conversation, on April 27, 2022, Delfasco submitted a revised EPA claim for the increased steel costs it incurred on the contract. APPX682, APPX685-692. Among other things, the revised claim included additional invoices and a related increase in the claim amounts. APPX685-692; APPX693, APPX697-709.[1] The revised EPA claim was denied by the contracting officer on July 7, 2022. APPX721-725. The bases for the denial were similar, but not identical, to the bases on which the original claim was denied. APPX721-725. Relevant to this appeal, the denial did not allege that Delfasco's EPA claim was outside the scope of the EPA clause because the bomb bodies were made of gray iron rather than steel. APPX721-725.

[1] The invoices for the bomb bodies often state they are made out of gray iron, which is in accord with the practice bomb bodies' contract drawings. APPX697, APPX704-709; APPX109.

Delfasco filed its Complaint with the ASBCA on October 13, 2022 and the Army filed its Answer on November 14, 2022. APPX742-753, APPX754-779. The government's Answer included a Part II, which contained 22 paragraphs of affirmative averments and a Part III addressing affirmative defenses. APPX771-779. In none of these affirmative averments, or anywhere else in its Answer, did the agency claim that the bomb bodies were not made out of steel. APPX771-779.

On May 1, 2023, the agency filed the Government's Motion for Summary Judgment and Request to Stay Proceedings.[2] APPX801-824. In the summary judgment motion, the government argued, for the first time, that Delfasco "bases its claim on the price of iron rather than steel." APPX815. The Army also argued that Delfasco "failed to comply with the steel EPA clauses notice requirements" and Delfasco's "increased steel costs, do not meet the steel EPA clauses requirement that they equal at least the 3% of the total Contract price." APPX815. Delfasco filed its response to the motion for summary judgment on May 31, 2023 and the Army filed its reply on June 30, 2023. APPX826-853, APPX909-927.

[2] On May 3, 2023 Delfasco concurred in the government's request to stay all proceedings pending resolution of the motion for summary judgment. The ASBCA issued an order staying all proceedings and deadlines unrelated to the government's motion for summary judgment the following day, May 4, 2023. At the time of the Board's stay, the parties had not yet commenced discovery.

On September 25, 2023, the ASBCA granted the Army's motion for summary judgment on a single basis. The Board found that the practice bomb bodies, on which the EPA claim is based, were made of gray iron. APPX1. The Board ruled that the EPA clause was inapplicable because it provided for price adjustments based upon fluctuations in the price of steel. APPX1.[3]

SUMMARY OF THE ARGUMENT

The Board's Opinion was in error because there are genuine issues of material fact that preclude granting summary judgment to the Army. The EPA clause does not define the term "steel" or what constitutes "steel" and the meaning of the term is ambiguous with respect to the EPA clause. APPX102-104. In determining the appropriate definitions for both the term "steel" and the term "gray iron," the Board relied on extrinsic evidence including definitions from a number of different online dictionaries. APPX4. However, there was other extrinsic evidence, presented by Delfasco, which indicated there were more than 3500 different types of steel with different physical, chemical and environmental properties. APPX843. Other extrinsic evidence indicated that gray irons are sometimes referred to as steels with graphite in them. APPX843.

[3] The Board did not consider the other grounds advanced by the government in its motion for summary judgment. APPX7.

Once the Board determined that it would rely on extrinsic evidence to interpret the meaning of the term "steel," it was error for the Board, on summary judgment, to pick and choose among the definitions and to ultimately select definitions favorable to the agency, the party moving for summary judgment. On summary judgment, the evidence must be viewed in the light most favorable to the party opposing the motion. *Paller v. Columbia Broad. Sys., Inc.*, 368 U.S. 464, 473 (1962). "The evidence of the nonmovant is to be believed, and all justifiable inferences are to be drawn in his favor." *Jay v. Secretary of Dept. of Health and Human Services*, 998 F.2d 979, 982 (Fed. Cir. 1993).

The Board also erred in refusing to consider evidence that, prior to the motion for summary judgment, the agency never claimed the EPA clause was inapplicable because the bomb bodies were not made out of steel. The contracting officer never asserted that the bomb bodies were not made of steel in her denials of Delfasco's original and revised EPA claims. APPX668, APPX721-725. The agency also failed to raise this defense in its Answer to Delfasco's Complaint, despite the fact that Part II of the answer contained 22 paragraphs of affirmative averments, and Part III pled an affirmative defense. APPX771-779. Furthermore, there is no evidence in the record that the agency mentioned this issue in any discussions between itself and Delfasco.

Where a contract term is ambiguous, it is the role of the Board or the court to implement the intent of the parties at the time the agreement was made. *Pagan v. Dep't of Veterans Affairs*, 170 F.3d 1368, 1371 (Fed. Cir. 1999). The fact that the agency's argument, that the bomb bodies are not made of steel and therefore not within the scope of the EPA clause, was raised for the first time in the agency's motion for summary judgment is, at minimum, evidence that this was not the Army's intent at the time the agreement was made. It was error for the Board to disregard this evidence.

ARGUMENT

I. Standard of Review

This Court reviews a Board's grant of summary judgment de novo. 41 U.S.C. § 7107(b)(1); *Rex Sys., Inc. v. Cohen*, 224 F.3d 1367, 1371 (Fed. Cir. 2000) ("This court reviews the Board's conclusions of law, including grants of summary judgment, without deference."). On summary judgment, the evidence must be viewed in the light most favorable to the party opposing the motion. *Crown Operations Intern., Ltd. v. Solutia Inc.*, 289 F.3d 1367, 1375 (Fed. Cir. 2002) citing *Paller v. Columbia Broad. Sys., Inc.*, 368 U.S. 464, 473 (1962). Doubts must be resolved in favor of the nonmovant. *Id.* citing *Cantor v. Detroit Edison Co.*, 428 U.S. 579, 582 (1976).

"Summary judgment is appropriate when the moving party demonstrates that 'there is no genuine issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.'" *Id.* citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 322-23 (1986). "Issues of fact are genuine only 'if the evidence is such that a reasonable jury could return a verdict for the nonmoving party.'" *Id.* citing *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). A disputed fact is material if it might affect the outcome of the suit such that a finding of that fact is necessary and relevant to the proceeding. *Id.*

> The Court has said that summary judgment should be granted where the evidence is such that it "would require a directed verdict for the moving party." *Sartor v. Arkansas Natural Gas Corp.*, 321 U.S. 620, 624 (1944). And we have noted that the "genuine issue" summary judgment standard is "very close" to the "reasonable jury" directed verdict standard: "The primary difference between the two motions is procedural; summary judgment motions are usually made before trial and decided on documentary evidence, while directed verdict motions are made at trial and decided on the evidence that has been admitted." *Bill Johnson's Restaurants, Inc. v. NLRB*, 461 U.S. 731, 745 n.11 (1983). In essence, though, the inquiry under each is the same: whether the evidence presents a sufficient disagreement to require submission to a jury or whether it is so one-sided that one party must prevail as a matter of law.
>
> *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 251-52 (1986).

Additionally, contract interpretation is a question of law that the Court will review de novo. *Rockies Express Pipeline LLC v. Salazar*, 730 F.3d 1330, 1335-36 (Fed. Cir. 2013). The "decision of the agency board on a question of law is not final or conclusive." 41 U.S.C. § 7107(b)(1). The "interpretation of a contract by the ASBCA is a question of law that is reviewed without deference on appeal." *England v. Contel Advanced Sys., Inc.*, 384 F.3d 1372, 1377 (Fed. Cir. 2004).

II. On Summary Judgment, The Board's Reliance On Extrinsic Evidence To Supply A Definition Of Steel That Excluded Gray Iron Was Improper Where Other Extrinsic Evidence Indicated Gray Iron Was Also Regarded As Steel

The ASBCA granted summary judgment to the Army on a single basis. The Board found that the practice bomb bodies, on which the EPA claim is based, were made of gray iron. APPX1. The Board ruled that because the EPA clause provided for price adjustments based upon fluctuations in the price of steel, it was inapplicable to Delfasco's claim for the increased costs it incurred for the practice bomb bodies. APPX1. The Board stated, "[g]iven our ruling that the gray iron contained in the bomb bodies is not steel, we do not consider the other grounds advanced by the government in support of its motion." APPX7. The Board's granting of summary judgment was improper because there are genuine issues of material fact that preclude granting summary judgment to the Army.

The EPA clause does not define the term "steel" or what constitutes "steel." APPX102-104. Nevertheless, the Board held that "[t]he plain meaning of steel does not encompass gray iron." APPX1, *see also* APPX7 (same). The Board, citing *TEG-Paradigm Env't, Inc. v. United States*, 465 F.3d 1329, 1338 (Fed. Cir. 2006), further stated "'When the contract's language is unambiguous it must be given its "plain and ordinary" meaning and the [Board] may not look to extrinsic evidence to interpret its provisions.'" APPX3.

Despite holding that the term "steel" was unambiguous and therefore "'the [Board] may not look to extrinsic evidence to interpret its provisions,'" that is exactly what the Board did. APPX3. The Board, relying upon and quoting from "MERRIAM-WEBSTER" and other dictionaries, stated that "Steel's ordinary definition is 'commercial iron that contains carbon in any amount up to about 1.7 percent as an essential alloying constituent, is malleable when under suitable conditions, and is distinguished from cast iron by its malleability and lower carbon content.'" APPX4 (emphasis added by the Board). The Board next relied upon a second dictionary to provide a second, different definition for "steel." APPX4. The Board also relied upon extrinsic evidence to define "gray iron": "pig or cast iron

containing much graphitic carbon which causes its fracture to be dark gray." APPX4 (emphasis added by Board).[4]

While the Board relied on extrinsic evidence to support its conclusion that the plain meaning of "steel" does not encompass "gray iron," the Board ignored extrinsic evidence, supplied by Delfasco, that indicated that gray iron is sometimes referred to as steel. Delfasco explained:

> "An Introduction To Grey Iron," states: These are iron-carbon alloys (and a form of cast iron) with carbon contents in excess of 2%, generally in the range 2 to 4% with the addition of about 1% silicon. They differ from steels in that the carbon present exceeds the solubility limit of 1.7%. This carbon is present in the form of austenite while the excess exists as graphite at room temperature. Consequently, grey irons are sometimes referred to as steels with graphite in them.

APPX841. The fact that grey irons are "referred to as steels" supports Delfasco's point that the Contract's Economic Price Adjustment's undefined use of "STEEL" encompasses Delfasco's bomb body castings. Another source states that "[n]odular cast iron can be regarded as steel with graphite balls dispersed in the matrix." APPX841.

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[4] The agency also relied on extrinsic evidence regarding the meaning of the term "steel" in its motion for summary judgment. APPX814-815, APPX817. Delfasco's response stated that "[t]he Army's reliance on extrinsic evidence for key components of its argument defeats its motion for summary judgment." APPX840.

CONCLUSION AND STATEMENT OF RELIEF SOUGHT

For the reasons stated above, the decision of the ASBCA should be reversed and this case remanded for a decision on the merits.

Respectfully submitted,

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March 26, 2024

ADDENDUM

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Decision of the Armed Services Board of Contract Appeals, *Appeals of Delfasco LLC*, ASBCA Nos. 63280, 63402 (Sept. 25, 2023)

[Sample note: the Board's decision is bound in the filed addendum and is not transcribed here. This placeholder gives the addendum its position and contents page only.]

CERTIFICATE OF COMPLIANCE WITH TYPE-VOLUME LIMITATIONS

Case Number: 24-1363
Short Case Caption: *Delfasco LLC v. Secretary of the Army*

The foregoing filing complies with the relevant type-volume limitation of the Federal Rules of Appellate Procedure and Federal Circuit Rules because it meets one of the following:

- [X] the filing has been prepared using a proportionally-spaced typeface and includes 2,484 words.
- [ ] the filing has been prepared using a monospaced typeface and includes ____ lines of text.
- [ ] the filing contains ____ pages / ____ words / ____ lines of text, which does not exceed the maximum authorized by this court's order (ECF No. ____).

Date: March 26, 2024
Signature: /s/ John J. O'Brien
Name: JOHN J. O'BRIEN

CERTIFICATE OF SERVICE

I hereby certify under penalty of perjury that on March 26, 2024, a copy of the foregoing "Opening Brief of Appellant, Delfasco LLC" was filed electronically and served via the Court's ECF system.

/s/ John J. O'Brien
JOHN J. O'BRIEN
March 26, 2024